

OCR AS and A Level Economics (H060, H460) Topic Questions

Question Paper

Main Topic **Macroeconomics (Component 02)**
Sub-Topic **Aggregate Demand (AD) and
Aggregate Supply (AS)**

EXAM PAPERS PRACTICE

© 2024 Exams Papers Practice. All Rights Reserved

**To be used by all students and teachers for
OCR AS and A Level Economics (H060, H460)
for exams from 2025 onwards.**

Students and teachers of other boards may also find this useful

Name : _____

Date : _____

Time : _____

Total Marks Available : _____

Total Marks Received : _____

- 1 * It was estimated that Greece had an output gap equivalent to 10% of potential GDP in 2015.

Evaluate, with the use of an appropriate diagram(s), whether fiscal policy will always reduce a negative output gap.



©2024 Exam Papers Practice. All rights reserved



EXAM PAPERS PRACTICE



EXAM PAPERS PRACTICE

©2024 Exam Papers Practice. All rights reserved.



EXAM PAPERS PRACTICE



EXAM PAPERS PRACTICE

©2024 Exam Papers Practice. All rights reserved.



EXAM PAPERS PRACTICE

©2024 Exam Papers Practice. All rights reserved.

2(a)

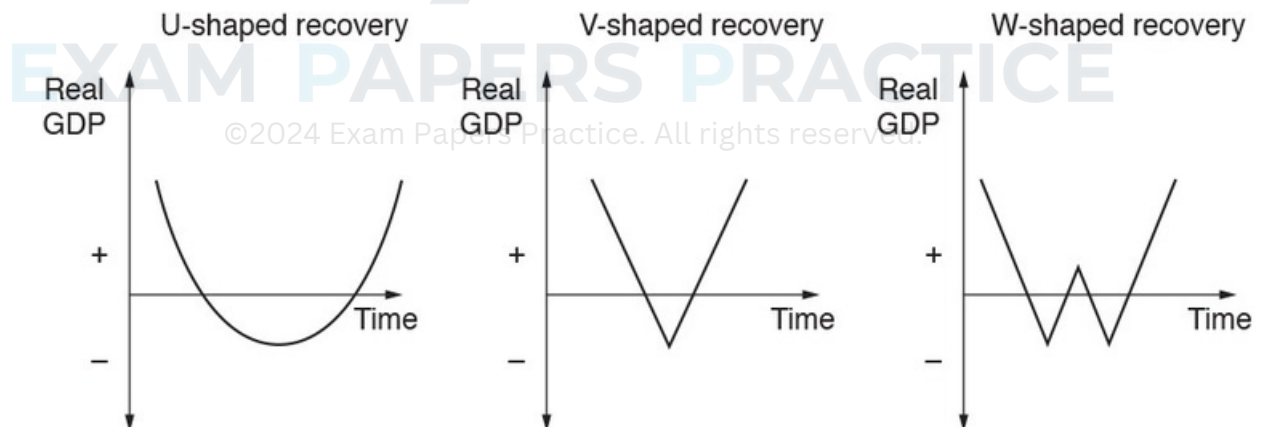
The Icelandic economy

In the last two decades the Icelandic economy has experienced some significant changes in economic activity. One influencing factor has been changes in the standard rate of income tax. The rate was cut in a number of stages from 46% to 36% in 2006. Despite the lower income tax rate, government income tax revenue rose, allowing the government to spend more on the country's infrastructure. In 2009 and 2010 the income tax rate was increased.

In the period 2008 to 2011, the economy experienced a serious recession. The country's three largest banks were allowed to fail. It was the third largest bankruptcy in history and, according to the size of the economy, the biggest banking failure in history. The value of the country's stock market fell by 95%, the currency declined in value by 60%, unemployment increased by 8% and inflation rose to 12%.

From 2011 the economy has made a remarkable recovery. In 2014 its real GDP was US\$14.85bn and it grew by 4% in 2015, one of the fastest rates in Europe. Economists have developed an 'alphabet' of recoveries with the three most common types shown in Fig. 1.

Fig. 1 Different types of economic recovery



In 2015 the Icelandic government was paying back its loans to the International Monetary Fund early. It had removed capital controls and had reformed the country's financial sector. A number of the country's industries were expanding, most noticeably its tourist industry. Income from tourism can fluctuate significantly. In 2015 the total contribution of Iceland's tourist industry to the country's GDP was 23%. The impressive growth of Iceland's tourist industry was contributing to a fall in unemployment due to a rise in hotel construction, and an increase in infrastructure, although this was also putting pressure on house prices as people were buying them to rent out to tourists. In 2015 the unemployment rate was 5.3%, which was lower than in many European countries, but it was predicted to rise in 2016.

For a small country with a population of only 0.33 million in 2014, Iceland has a relatively high HDI value. Fig. 2 shows some details of the HDI values of six countries.

Fig. 2 The Human Development Index of six selected countries

Country	HDI ranking 2014	HDI value 2014	GNI per capita (US\$) 2014
Norway	1	0.944	64,992
Australia	2	0.935	42,261
Germany	6	0.916	43,918
USA	8	0.915	52,947
UK	14	0.907	39,267
Iceland	16	0.898	35,182

- 25 As Iceland's economy has grown, so has the country's aid for developing countries. In 2013, for instance, its foreign aid budget increased by 27.8%.

Using Fig. 1, explain which type of economic recovery is likely to be most beneficial for an economy.

[3]

EXAM PAPERS PRACTICE

©2024 Exam Papers Practice. All rights reserved.

[illegible]



EXAM PAPERS PRACTICE

©2024 Exam Papers Practice. All rights reserved.

- 3 * Investment has fluctuated significantly in Poland in recent years. For example, it increased by 8.3% in 2008, fell by 1.5% in 2012 and grew by 5.9% in 2015.

Evaluate the extent to which the accelerator theory explains the level of investment in an economy.



EXAM PAPERS PRACTICE

©2024 Exam Papers Practice. All rights reserved.



EXAM PAPERS PRACTICE



EXAM PAPERS PRACTICE

©2024 Exam Papers Practice. All rights reserved.



EXAM PAPERS PRACTICE

©2024 Exam Papers Practice. All rights reserved.



EXAM PAPERS PRACTICE

©2024 Exam Papers Practice. All rights reserved.

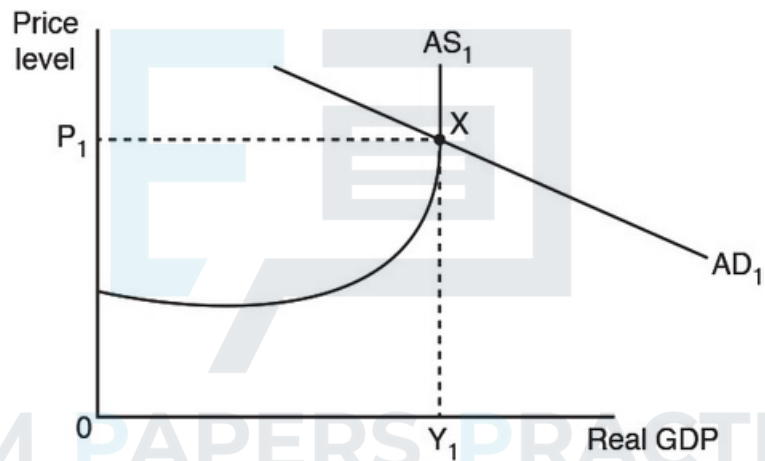
- 4 A country's marginal propensity to import is 0.1, the marginal rate of taxation is 0.3 and the marginal propensity to consume is 0.8. What is the size of the country's multiplier?

A 0.6
B 0
C 0.8
D 3

1.2
Your answer
1.6
7

[1]

- 5 If an economy is operating at point X in the diagram below, which of the following best describes the impact of an increase in consumer expenditure?



	Economic Growth	Inflation	Unemployment
A	Decreases	Decreases	Decreases
B	Increases	Increases	Increases
C	Increases	Unchanged	Increases
D	Unchanged	Increases	Unchanged

Your answer

[1]

6 What is meant by the term 'negative output gap'?

- A Actual GDP is below potential GDP
- B Negative externalities resulting in over-production
- C The economy is operating beyond its production possibility frontier
- D Two consecutive quarters of negative economic growth

Your answer

[1]

7 Which of the following identifies the components of aggregate demand that are likely to be affected by an increase in household income?

	Consumption	Investment	Government spending	Net exports
A	/			
B	/	/		
C	/	/	/	
D	/	/	/	/

Your answer

[1]

8 An economy has three leakages from its circular flow of income – savings, tax and imports. Its national income multiplier rose from 2 to 2.5 between 2015 and 2018. Over this period its marginal propensity to save fell from 0.14 to 0.02 and its marginal rate of tax increased from 0.17 to 0.22. What was the change in the country's marginal propensity to import over this time period?

- A A fall from 0.19 to 0.16
- B A fall from 0.50 to 0.40
- C A rise from 0.69 to 0.76
- D A rise from 1.69 to 2.26

Your answer

[1]



- 9 Which of the following identifies a difference between the neo-classical and Keynesian approach to macroeconomic thinking?

	neo-classical	Keynesian
A	Aggregate supply is perfectly inelastic in the long run	There is an elastic section of the aggregate supply curve
B	Fiscal policy can affect real output in the economy	Fiscal policy cannot affect real output in the economy
C	Prices and wages are not always flexible Unemployment is caused by demand	Prices and wages are always flexible
D	side factors	Unemployment is caused by supply side factors

Your answer

[1]

- 10 Please refer to insert H460-03 June 2018, Olympic Games, which can be downloaded separately and is also included with Question 31.

Using the data in Extract 2, explain what is meant by the multiplier effect of Olympics expenditure.

EXAM PAPERS PRACTICE

[2]

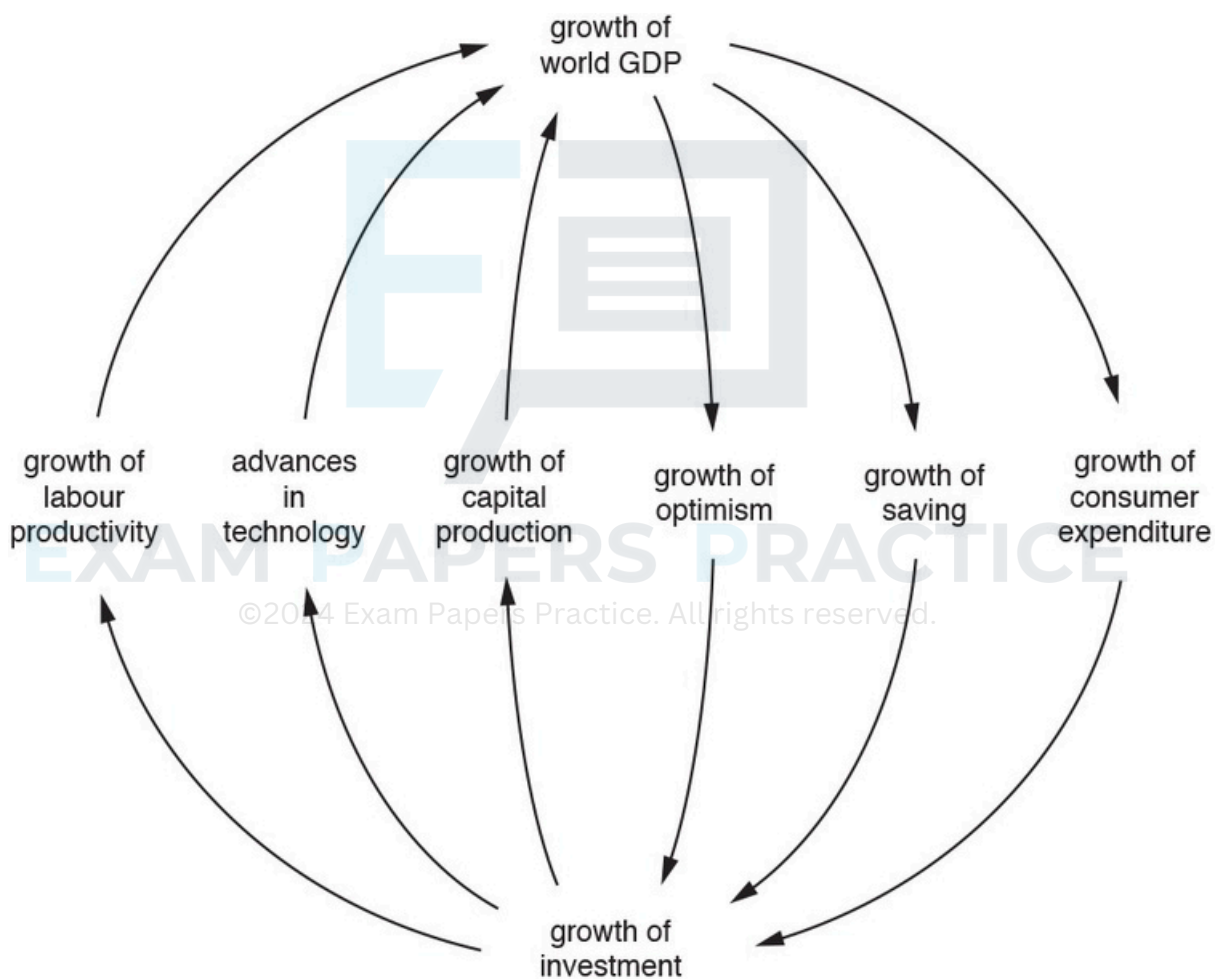
11(a)

Trade wars threaten globalisation

Trade wars were threatening the process of globalisation in 2018 and were restricting the ability of countries to exploit their comparative advantage and their absolute advantage. In the years before, advances in production and communication technology had lowered production and transport costs, had increased the ability of firms to move production around the world and increased the size of firms' markets.

World trade increased by 3.2% in 2017. This contributed to a growth in world GDP. Higher GDP can result in a virtuous circle as shown in Fig. 1.

Figure 1 A virtuous circle



While the benefits of globalisation are widespread, the costs are often concentrated in particular areas and among those unskilled workers who are geographically and occupationally immobile.

- 10 One of the reasons why the US government imposed tariffs on steel imported from China was to protect the jobs of US steel workers.

Some economists are also concerned that globalisation can result in governments engaging in tax competition to keep firms and skilled workers in the country and to attract foreign MNCs and

foreign skilled workers into the country. Table 1 shows government tax revenue and expenditure
15 for selected countries in 2017.

Table 1 Government tax revenue and government expenditure 2017

Country	Government tax revenue (US\$ billion)	Government tax revenue as a % of GDP	Government expenditure (US\$ billion)
China	2672	22.4	3146
Germany	1598	43.8	1573
India	249	10.2	330
Ireland	85	26.2	87
Russia	254	17.3	288
UK USA	984	38.4	1076
	3336	22.0	3991

International competition may, on the other hand, encourage governments to spend more on education, training and health care to increase productivity and so attract foreign direct investment. Table 2 shows the corporate tax rates and the foreign direct investment attracted by the same selected countries.

Table 2 Corporate tax rates and foreign direct investment 2017

Country	Average corporate tax rate (%)	Foreign direct investment per head (US\$)
China	25.0	1098
Germany	29.8	17 963
India	34.6	287
Ireland	12.5	295 400
Russia	20.0	3378
UK USA	19.0	30 852
	40.0	12 489

20 The UK economy is more affected by changes in the global economy than the USA. This is because it is a more open economy. The UK has a relatively high marginal propensity to import. Between 2016 and 2017, average UK household income rose from £26 300 to £27 400 while average household spending on imports rose from £4950 to £5280.

The growth of the emerging economies, including China and India, is having an impact on the UK. For
25 instance, Chinese steel firms have captured some of the UK's steel industry's market at home

and abroad. Indian MNCs produced more than £26 billion of goods and services in the UK in 2016 and employed more than 100 000 workers in the UK.

- (i) Using Table 1, explain which country's government made a negative contribution to the country's aggregate demand.

[2]

- (ii) Using Table 1, calculate Russia's GDP in 2017.

EXAM PAPERS PRACTICE

©2024 Exam Papers Practice. All rights reserved.

[2]

(b) Using information from the stimulus material, calculate the UK's marginal propensity to import in 2017.

[2]

- 12 * In 2018 the Australian government, concerned about the possibility of an economic downturn, used a number of policy measures intended to increase private sector investment.

Evaluate, with the use of an appropriate diagram(s), whether an increase in private sector investment will help a government achieve its macroeconomic objectives.

EXAM PAPERS PRACTICE

©2024 Exam Papers Practice. All rights reserved.



EXAM PAPERS PRACTICE

©2024 Exam Papers Practice. All rights reserved.



EXAM PAPERS PRACTICE

©2024 Exam Papers Practice. All rights reserved.



EXAM PAPERS PRACTICE

©2024 Exam Papers Practice. All rights reserved

- 13 * The Labour Party announced in 2014 that, if elected, it would restore the 50% income tax rate for high earners in the UK.

Evaluate, with the use of an appropriate diagram(s), whether UK macroeconomic performance would be strengthened by an increase in the top rate of income tax.



EXAM PAPERS PRACTICE

©2024 Exam Papers Practice. All rights reserved.



EXAM PAPERS PRACTICE



EXAM PAPERS PRACTICE

©2024 Exam Papers Practice. All rights reserved.



EXAM PAPERS PRACTICE

©2024 Exam Papers Practice. All rights reserved.



EXAM PAPERS PRACTICE



EXAM PAPERS PRACTICE

©2024 Exam Papers Practice. All rights reserved.



EXAM PAPERS PRACTICE

©2024 Exam Papers Practice. All rights reserved.

14 What does the accelerator effect tell economists about the economic cycle?

- A A fall in injections will cause a more than proportionate decrease in real GDP
- B A fall in injections will cause a less than proportionate decrease in real GDP
- C Investment will be high when economic growth is high
- D Investment will be high when real GDP is high

Your answer

[1]

15 Which of the following represents a leakage from the circular flow of income?

- A Exports
- B Government spending
- C Investment
- D Savings

Your answer

[1]

16 How can an economy that is currently employing all its resources increase its output?

- A Improving the state of technology
- B Increasing consumption by lowering prices
- C Increasing the velocity of circulation of money
- D Redistributing income between factors of production

Your answer

[1]

17 An economy has the following leakages:

- Marginal propensity to save = 0.1
- Marginal rate of taxation = 0.2
- Marginal propensity to import = 0.2

Its government wants to raise its GDP from \$300bn to \$450bn. By how much should it increase its spending in order to achieve its objective?

- A \$15bn
- B \$60bn
- C \$75bn
- D \$150bn

n

Your answer

[1]

18 What is the accelerator effect?

- A An increase in aggregate demand causes a greater final change in real GDP
- B As economic growth pushes the economy towards full capacity the rate of inflation increases rapidly
- C Increases in expected demand will increase the level of investment in the economy
- D Sacrificing the production of consumer goods for capital goods in the short run can increase the rate of economic growth in the long run

Your answer

[1]

©2024 Exam Papers Practice. All rights reserved.



- 19 Please refer to insert H460-03 June 2019 which can be downloaded separately and is included above with Question 27.

Evaluate, using the information in Extract 2, the impact on the UK labour market and wider economy of the UK ending the free movement of labour with EU countries.

A large, light blue watermark logo is centered on the page. It consists of a stylized 'EP' monogram where the 'E' and 'P' are interconnected. Below the monogram, the words 'EXAM PAPERS PRACTICE' are written in a bold, sans-serif font. Underneath the brand name, a smaller line of text reads '©2024 Exam Papers Practice. All rights reserved.'

EXAM PAPERS PRACTICE

©2024 Exam Papers Practice. All rights reserved.

[15]

20(a)

Will China be more successful than the UK?

In the first decade of the twenty-first century China saw a significant increase in both income and wealth. In the current decade, however, its economic growth rate has slowed. At the start of 2016, China's president, Xi Jinping, said that the government would concentrate on supply-side reform. He mentioned that the government would no longer try to promote economic growth by just relying on fiscal and monetary policy measures. It would be placing more emphasis on long-term structural change rates rather than short-term stimulus.

In the past China has used short-term demand management to increase consumer expenditure and investment. This has led to an increase in government spending which has had implications for the country's budget position. Table 1 compares the gross domestic product (GDP), government revenue and government expenditure of the six largest economies in 2014.

Country	GDP	Government revenue	Government expenditure
China	10.4	2.3	2.4
France	2.8	1.5	1.6
Germany	3.9	1.7	1.7
Japan	4.6	1.5	1.8
UK	3.0	0.9	1.1
USA	17.4	3.0	3.5

Table 1 - GDP, government revenue and government expenditure in US\$ trillion of the six largest economies in 2014

©2024 Exam Papers Practice. All rights reserved.

The Chinese government is hoping that supply-side policy measures will increase the country's productivity. The UK economy has introduced a number of supply-side policy measures including deregulation, privatisation and tax cuts Fig.1 compares the UK's productivity growth with that of the six other G7 members. It shows after 2007 the gap between the actual growth in productivity and the predicted growth in productivity.

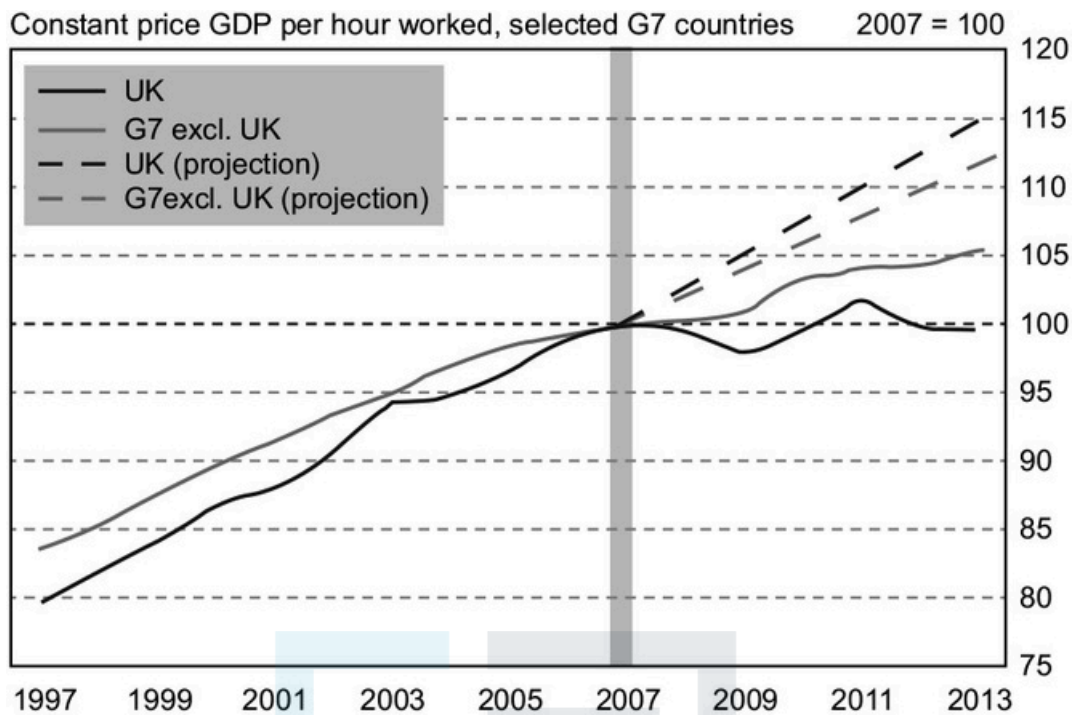


Fig. 1. A comparison of productivity growth in the UK and G7 1997 – 2013

Productivity is influenced by a number of factors including investment. In turn, there are a number of influences on investment including the level of savings. The amount of income saved varies from country to country. Some countries, including China have a relatively high average propensity to save. Others, including Denmark in recent years, have had a negative average propensity to save. Table 2 shows the average propensity to save of the G7 countries in 2014.

©2024 Exam Papers Practice. All rights reserved.

Country	Average propensity to save
Canada	0.05
France	0.15
Germany	0.09
Italy	0.05
Japan	0.02
UK	0.06
USA	0.05

Table 2 - The average propensity to save in the G7 countries in 2014

(i) Using Fig.1, calculate how much greater the UK's productivity gap was than the G7's in 2013.

[1]

(ii) Using Fig.1, compare the trend in UK productivity and G7 productivity over the period shown.

[3]

EXAM PAPERS PRACTICE

©2024 Exam Papers Practice. All rights reserved.



(b)

(i) Explain how it is possible for a country to have a negative average propensity to save.

This image shows five sets of horizontal dashed lines, commonly used for handwriting practice. Each set consists of three parallel lines, providing a guide for letter height and placement. The lines are evenly spaced and extend across the width of the page.

[2]

(ii) Evaluate to what extent the information in Table 2 can be used to compare the value of the income multiplier in France and in Japan in 2014.

EXAM PAPERS PRACTICE

©2024 Exam Papers Practice. All rights reserved.

[illegible]



[8]

For more help, please visit our website www.exampaperspractice.co.uk

For some years now the UK has had a deficit on both its budget balance and on the balance of the current account of its balance of payments. In 2015 the budget deficit fell to 4.1% of GDP. This was the lowest deficit, in percentage terms, since 2007 but it was noticeably higher than the historical average of 2.5% of GDP. In October 2016 the Chancellor of the Exchequer announced that he was abandoning the objective of achieving a budget surplus by 2020. He also said he was prepared to borrow for public sector investment in infrastructure.

Changes in the budget position can influence activity in the labour market. Fig. 1 shows the stocks of employment, unemployment, economic inactivity and migration and the flows between them. For instance, the stock of unemployment (the number of people unemployed at any particular time) is affected by flows into and out of unemployment (some people becoming unemployed while others stop being unemployed).

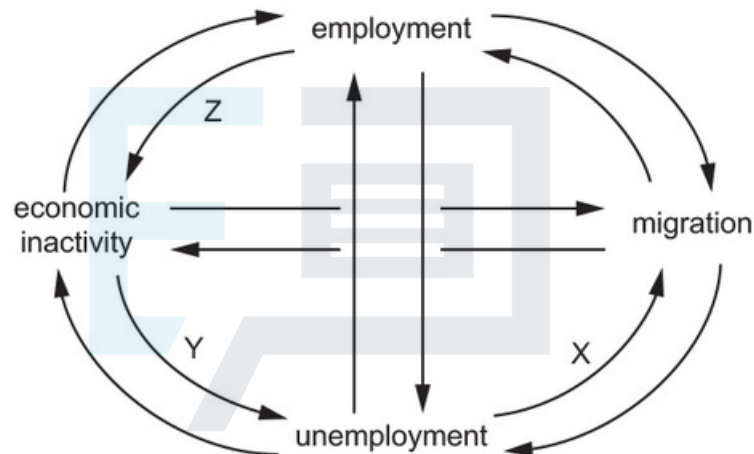


Fig. 1 Stocks and flows in the labour market

©2024 Exam Papers Practice. All rights reserved.

The budget position, in turn, is influenced by a range of factors including the level of economic activity, the rate of interest and any tax reforms undertaken. A number of European countries have recently introduced flat rate tax systems. Fig. 2 shows when a flat tax was introduced in a number of European countries and how the rate of income tax changed due to the introduction and the rate in 2016.

Country	Tax rate(s) before introduction (%)	Year introduced	Initial tax rate after introduction (%)	Tax rate in 2016 (%)
Estonia	16–35	1994	26	21
Lithuania	18–33	1994	33	15
Latvia	25–10	1995	25	25
Russia	12–30	2001	13	13
Georgia	12–20	2005	12	20
Macedonia	15–24	2007	12	10
Czech Republic	12–32	2008	10	10

Fig. 2 Flat rate taxes on personal income (%) in selected countries

Changes in economic activity at home and abroad, the rate of interest and the exchange rate can also influence the current account position of the balance of payments. In 2015 the UK's current account deficit was £96.2 billion. This was the largest deficit as a percentage of GDP (5.2%) since annual records began in 1948 and the largest of the G7 countries. Fig. 3 shows some details of the UK's balance of payments position in 2014.

Current account balance	–£92.9 bn
Trade in goods	–£123.7 bn
Trade in services	£89.1 bn
Secondary income	–£25.2 bn
Capital account	–£0.8 bn

Fig. 3 Selected details of the UK's balance of payments 2014

The current account deficit has increased every year since 2011. One significant cause of this has been the rise in the deficit on primary income. Throughout the nineteenth century and the first half of the twentieth century the UK invested heavily abroad which resulted in a high yield of profits, interest and dividends. In more recent decades the UK has seen a net inflow of foreign investment. Multinational companies from a range of countries, including the USA, Germany, India and China have entered in a number of UK industries.

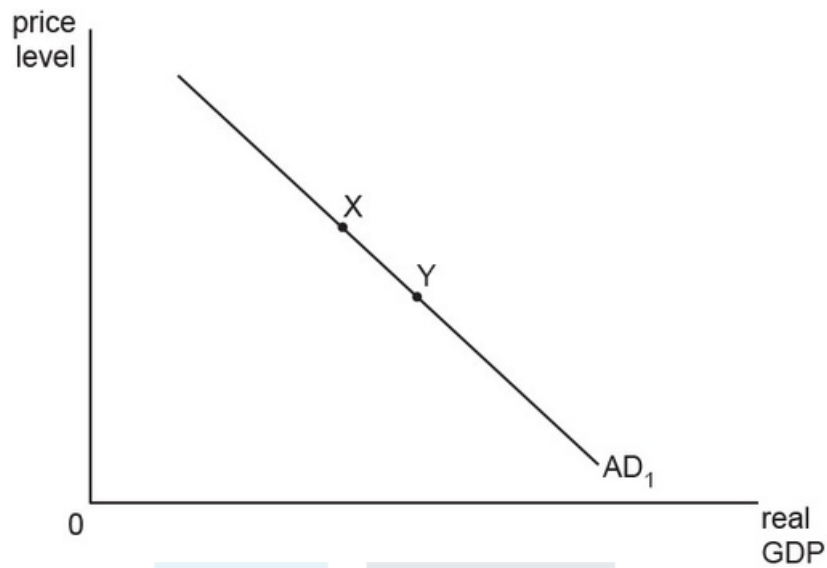
Identify one example of discretionary fiscal policy in the stimulus material and explain how it could affect aggregate demand.

EXAM PAPERS PRACTICE

©2024 Exam Papers Practice. All rights reserved.

[2]

22 What explains a movement from X to Y in the diagram below?



- A A decrease in corporation tax rates
- B An exchange rate depreciation
- C An increase in interest rates
- D An increase in the real value of households' wealth

Your answer

[1]

23 Use the information below to calculate the size of the national income multiplier.

©2024 Exam Papers Practice. All rights reserved.

Gini coefficient	0.71
Marginal Propensity to Import	0.11
Marginal Propensity to Save	0.23
Marginal Rate of Taxation	0.17
PED for exports and imports	0.42

- A 0.51
- B 1.64
- C 1.96
- D 2.94

Your answer

[1]



-



EXAM PAPERS PRACTICE



EXAM PAPERS PRACTICE

©2024 Exam Papers Practice. All rights reserved.



EXAM PAPERS PRACTICE

©2024 Exam Papers Practice. All rights reserved.



25 * Between 2017 and 2018, households in Denmark saved more. Household saving as a percentage of disposable income rose from 5.6 to 5.9.

Evaluate, with the use of an appropriate diagram(s), whether an increase in the amount households save will harm an economy.

A large, faint watermark logo is centered on the page. The logo features a stylized 'E' and 'P' in light blue and grey. Below the logo, the text 'EXAM PAPERS PRACTICE' is written in a bold, sans-serif font. Underneath that, in a smaller font, is the copyright notice '©2024 Exam Papers Practice. All rights reserved.' The entire page is filled with horizontal dashed lines for writing.



EXAM PAPERS PRACTICE



EXAM PAPERS PRACTICE

©2024 Exam Papers Practice. All rights reserved.



EXAM PAPERS PRACTICE

©2024 Exam Papers Practice. All rights reserved.



26 * In March 2018 the French government announced that children would have to start school at age 3 rather than age 6 from September 2019.

Evaluate, with the use of an appropriate diagram(s), whether a fall in the compulsory school starting age will benefit an economy. [25]

A large, light blue watermark is centered on the page. It consists of a stylized 'EP' logo where the 'E' and 'P' are interconnected. Below the logo, the words 'EXAM PAPERS PRACTICE' are written in a bold, sans-serif font. Underneath the text, there is a line of smaller text: '©2024 Exam Papers Practice. All rights reserved.'



EXAM PAPERS PRACTICE



EXAM PAPERS PRACTICE

©2024 Exam Papers Practice. All rights reserved.



EXAM PAPERS PRACTICE



EXAM PAPERS PRACTICE

©2024 Exam Papers Practice. All rights reserved.



EXAM PAPERS PRACTICE



EXAM PAPERS PRACTICE

©2024 Exam Papers Practice. All rights reserved.



EXAM PAPERS PRACTICE



EXAM PAPERS PRACTICE

©2024 Exam Papers Practice. All rights reserved.



EXAM PAPERS PRACTICE



EXAM PAPERS PRACTICE

©2024 Exam Papers Practice. All rights reserved.



EXAM PAPERS PRACTICE



EXAM PAPERS PRACTICE

©2024 Exam Papers Practice. All rights reserved.



EXAM PAPERS PRACTICE



EXAM PAPERS PRACTICE

©2024 Exam Papers Practice. All rights reserved.



EXAM PAPERS PRACTICE



EXAM PAPERS PRACTICE

©2024 Exam Papers Practice. All rights reserved.



27 * In 2017 Bosnia had a significant output gap while it was estimated that Slovenia did not have an output gap.

[25]

EXAM PAPERS PRACTICE



EXAM PAPERS PRACTICE



EXAM PAPERS PRACTICE

©2024 Exam Papers Practice. All rights reserved.



EXAM PAPERS PRACTICE



EXAM PAPERS PRACTICE

©2024 Exam Papers Practice. All rights reserved.



EXAM PAPERS PRACTICE



EXAM PAPERS PRACTICE

©2024 Exam Papers Practice. All rights reserved.



EXAM PAPERS PRACTICE



EXAM PAPERS PRACTICE

©2024 Exam Papers Practice. All rights reserved.



EXAM PAPERS PRACTICE



EXAM PAPERS PRACTICE

©2024 Exam Papers Practice. All rights reserved.



EXAM PAPERS PRACTICE



EXAM PAPERS PRACTICE

©2024 Exam Papers Practice. All rights reserved.



EXAM PAPERS PRACTICE



EXAM PAPERS PRACTICE

©2024 Exam Papers Practice. All rights reserved.



EXAM PAPERS PRACTICE

©2024 Exam Papers Practice. All rights reserved.



EXAM PAPERS PRACTICE



EXAM PAPERS PRACTICE

©2024 Exam Papers Practice. All rights reserved.

28(a) **Are we moving towards a cashless society?**

Recent years have seen a change in both the amount consumers spend and how they make their payments. How much consumers spend is influenced by a variety of factors. These include changes in income and changes in confidence. During an economic boom, consumer expenditure is likely to be high. Indeed, an economic boom is often consumer-led. In contrast, consumer expenditure can fall to a low level during a recession. Fig. 1 shows how consumer expenditure can vary as income changes.

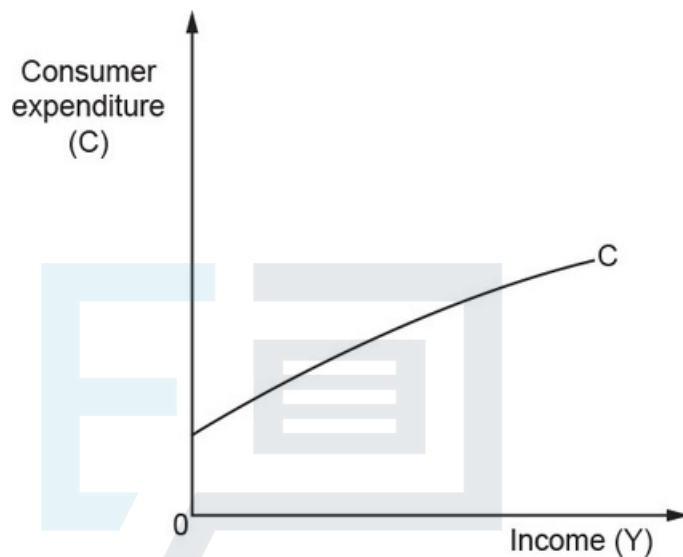


Fig. 1 The relationship between changes in income and changes in consumer expenditure

Changes in injections and leakages can alter a country's income. It has been estimated, for instance, that an injection of \$200m of government spending in the Swiss economy would cause a rise in GDP of \$300m.

- 10 The proportion of payments made in cash in Switzerland is declining. It is also falling in the UK. In 2005, 70% of payments in the UK were made in cash. By 2015, this had fallen to 50% and is forecast to decline to 30% by 2025. The extent to which cash is used influences the number of banknotes printed and in circulation. Fig. 2 shows the value of banknotes in circulation in the UK over a five year period.

Year	£5	£10	£20	£50	Total
2014	1 540	7 182	36 483	11 025	56 230
2015	1 601	7 371	38 912	11 788	59 672
2016	1 645	7 767	41 037	13 157	63 606
2017	1 912	8 006	43 357	15 601	68 876
2018	1 910	7 789	42 692	16 508	68 899

Fig. 2 The value of banknotes in circulation (£million) 2014 –2018

- 15 Some central banks favour ending the use of cash. One reason is because of the role that cash plays in a number of criminal activities including money laundering and drug dealing. A more significant motive is probably to enable central banks to charge negative interest rates when needed to stimulate economic activity. If people and banks can take money out of their deposits and hold them as cash, negative interest rates are likely to have less power to encourage an
- 20 increase in spending.

- Negative interest rates involve commercial banks having to pay to hold deposits at the central bank. As commercial banks often have excess funds held at the central bank, a negative interest rate may encourage them to lend the funds instead. If commercial banks pass on the negative rates to their customers, people will have to pay to save. Negative interest rates would have an
- 25 impact on borrowing, the cost of servicing government debt and probably on the exchange rate.

A number of central banks, including the Bank of Japan, the Swiss National Bank, Denmark's National Bank and the European Central Bank (ECB) have used negative interest rates in a bid to avoid deflation. These banks received some criticism for the effect that the negative interest rates had on confidence, saving and bank profitability.

- 30 The Bank of England has yet to introduce a negative interest rate. Fig. 3 shows how the UK interest rate has changed in recent years.

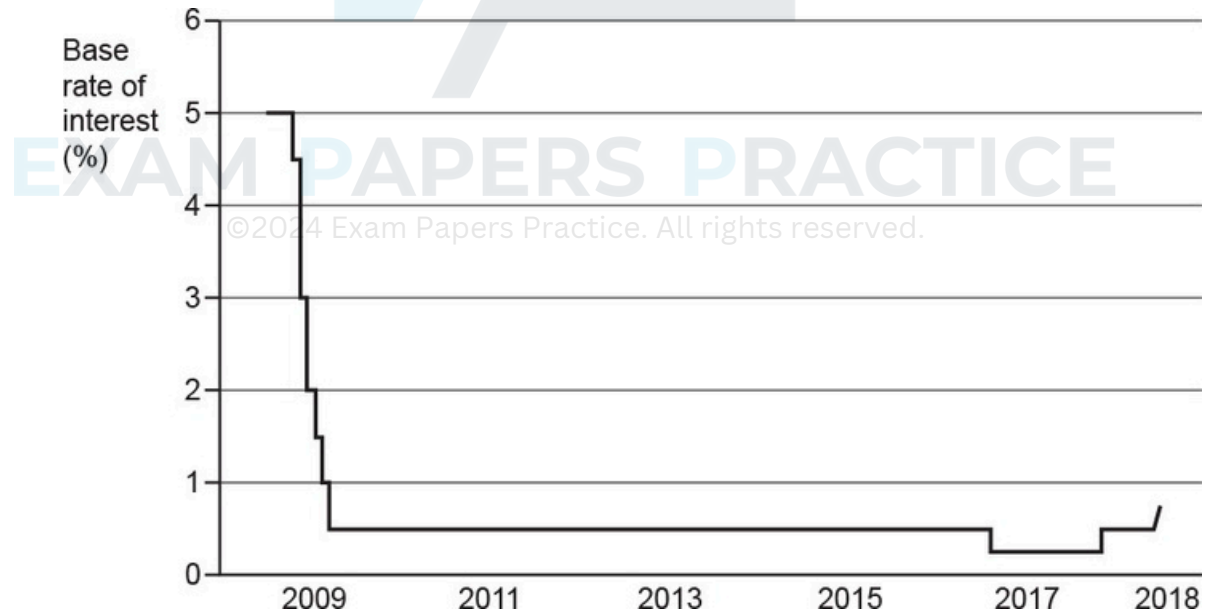


Fig. 3 UK interest rates 2009–2018

- While the ECB has stopped producing its €500 note, the Bank of England has not yet scrapped any notes. Getting rid of cash is likely to affect the poor most. Nearly 1.5 million UK adults do not have a bank account and most of these are poor. Some of them are unemployed. The number of
- 35 people unemployed may increase during a recession. The impact on unemployment will depend

on a number of factors. These include firms' stock levels, the length of the recession, how easily firms can adjust working hours and the number of people they employ and whether the numbers in the labour force stay the same.

Using Fig. 1, explain the relationship between changes in consumer expenditure and changes in income.

[2]

(b) Calculate Switzerland's marginal propensity to withdraw.

[2]

END OF QUESTION PAPER